



10 years of stablecoins: Their impact, what we know, and future research directions[☆]

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ABSTRACT

This paper highlights the growth and importance of stablecoins since they were launched 10 years ago. We outline their impact on the cryptocurrency ecosystem as well as the financial system as a whole, while also summarising the main findings in the literature. Finally, we outline future research directions.

1. Introduction

Cryptocurrencies have emerged as a new asset class since Bitcoin started trading on the 3rd January 2009. The market for cryptocurrencies has experienced unprecedented growth, fostering a wave of innovation and academic research across many disciplines.¹ At their height, cryptocurrencies had a total market capitalisation just shy of \$3 trillion and a daily trading volume of well over \$200 billion.² From initially being traded by retail investors (Hackethal et al., 2022; Kogan et al., 2024), cryptocurrencies have entered mainstream finance with listed Bitcoin futures, options and spot-ETFs which has led to institutional interest and uptake. Those rapid advancements have led to many cryptocurrencies with unique features and use cases.³

Various categories within the cryptocurrency ecosystem have emerged, such as decentralised finance (DeFi), the metaverse, privacy coins, non-fungible tokens (NFTs), and even meme coins, each spawning its own cryptocurrencies. One of the largest and, arguably, most important and impactful categories has been stablecoins. Stablecoins are a type of cryptocurrency that attempt to maintain a stable price against any other asset, but in most cases, the US dollar. They aim to provide exposure to their chosen asset and, in the vast majority of cases,

offer a stable asset to hold in the volatile world of cryptocurrencies. Therefore, they have emerged as a vital tool and intermediary in the cryptocurrency ecosystem, demonstrated by stablecoin market capitalisation reaching a high of over \$180 billion in 2022 and currently sitting above \$150 billion in July 2024.⁴

The first stablecoin went live on 21st July 2014 when BitUSD was issued on the BitShares blockchain and was crypto-backed. Since then, more than 150 stablecoins have been launched with varying success. Tether, the world's largest stablecoin, issued by Tether Limited, which also owns the Bitfinex exchange, regularly has daily trading volumes of over \$70 billion and a market capitalisation of over \$100 billion.⁵ Given their sheer size, growth, and proximity to fiat currencies, stablecoins have received considerable media and regulatory attention in recent years. However, the academic literature has been slow to study these assets, and only now, 10 years after the first stablecoin went live, is there a burgeoning literature on these fascinating assets.

This paper provides an overview of the growth, interest and importance of stablecoins over the last decade. We also systematically outline their impact to not only the cryptocurrency ecosystem but also the financial system as a whole. Further, we outline the main

[☆] All remaining errors are our own.

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¹ See Urquhart and Yarovaya (2024).

² Source: Coinmarketcap.

³ As of 8th July 2024, Coinmarketcap estimates that there are over 2.4 million cryptocurrencies in circulation.

⁴ Source: DeFiLlama.

⁵ Source: Coinmarketcap.

findings in the literature and importantly, outline future research directions that would enhance our understanding and potential impact of these new digital assets on society.

2. Growth and purpose of stablecoins

Parallels can be drawn between stablecoins and eurodollars regarding their emergence, role, and growth. Like eurodollars, stablecoins represent offshore US liabilities that primarily operate outside of the US regulatory regime. In much the same way eurodollars developed to address the risks faced by Cold War-era adversaries of the US, stablecoins emerged to address the banking needs of the systematically under-served by the traditional financial sector exchanges (Massad, 2024). Specifically, to mitigate unbanking limitations, cryptocurrency exchanges like Bitfinex established a third-party entity,⁶ the stablecoin provider. The stablecoin provider would be responsible for accepting deposits and converting them into an on-chain representation of said deposit, which could be used on the cryptocurrency exchange as a medium of exchange for other cryptocurrencies. This came to be known as a stablecoin.

Besides serving as a medium of exchange, their unique role as a stable asset in the volatile cryptocurrency space, elevated their status as a blockchain-native store of value. Cryptocurrency holders anticipating market downturns would switch their crypto to stablecoins to mitigate volatility and avoid the higher switching costs associated with converting to fiat currency (Catalini et al., 2022). However, their meteoric rise in popularity originates from two key events: first, a shift in the reserve management strategy by stablecoin issuers; and second, their increased utility in the DeFi ecosystem. These factors facilitated higher profits for issuers and holders, much like how eurodollars provided higher yields compared to the USD, owing to regulatory arbitrage.⁷

Specifically, stablecoins originally operated on the basis of full cash reserves. Starting in 2019, stablecoin issuers diversified their reserve holdings to yield generating assets such commercial paper (CP), debt, treasuries, and more. This meant that they could benefit from managing yield-generating reserves against a non-yield-generating stablecoin (Kim, 2022; Barthélémy et al., 2023; Dionysopoulos et al., 2024b). Simultaneously, the growth of DeFi provided opportunities for stablecoin holders, who were often incentivised to provide their stablecoins as liquidity, in exchange for rewards and high yields (Catalini et al., 2022). Those two shifts stemming from the utility of stablecoins as yield generating assets for both issuers and holders coincided with an increase in their growth and popularity.

Figs. 1, 2, 3, and 4, demonstrate the growth of the stablecoin space. Within a few years, their market capitalisation (Mcap) increased from millions to over \$180 billion. This is also reflected in the amount of stablecoins created, versus removed from circulation, which reaches an all-time high around the same period. On-chain settlement volume also exhibits significant growth during this time, as do holding addresses. Metrics declined following the collapse of Terra-Luna (Briola et al., 2023), an ecosystem associated with the then-popular stablecoin, UST (now USTC), before recovering to almost previous highs during the start of 2024.

Despite the variety of stablecoin approaches (Klages-Mundt et al., 2020), a dominant design has emerged: a USD-denominated, custodian stablecoin backed by low-risk, low-yield instruments. This has led to high centralisation in three key aspects. First, over 99% of stablecoins are USD-denominated.⁸ Second, Fig. 5 shows that the two largest custodian stablecoins account for more than 90% of total issuance. Third, Fig. 6 indicates that they are primarily issued on the Ethereum blockchain, although Tron is gaining traction.

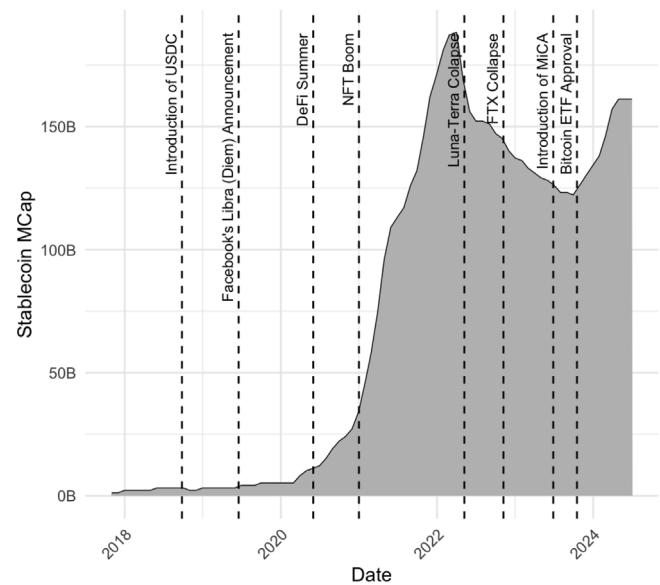


Fig. 1. Stablecoin market capitalisation over time.

Stablecoin market capitalisation over time, in billions of USD, plotted against key events in the cryptocurrency space: Introduction of USDC, Facebook's Libra (Diem) Announcement, DeFi Summer, NFT Boom, Luna-Terra Collapse, FTX Collapse, Introduction of MiCA, and Bitcoin ETF Approval. Data sourced from IntoTheBlock.

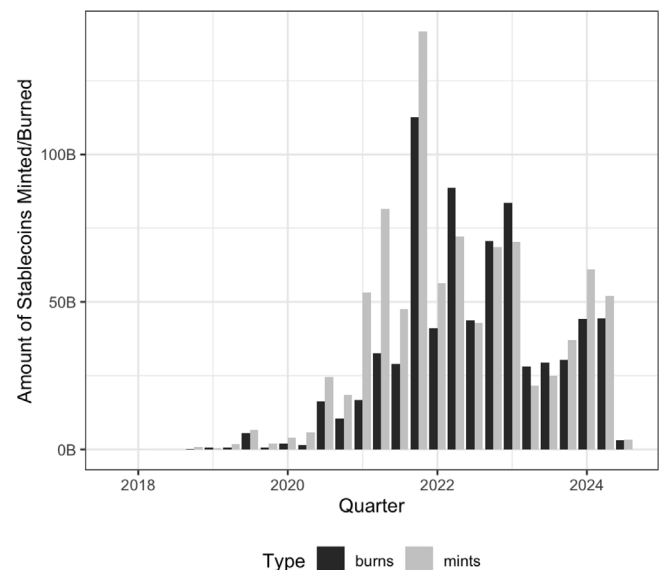


Fig. 2. Amount of stablecoins minted/ burned per quarter.

Stablecoins minted and burned per quarter, in billions of units, over time. Stablecoin mints are represented in grey and burns in black. Data sourced from RAW.xyz.

⁶ Source: <https://ag.ny.gov/press-release/2021/attorney-general-james-ends-virtual-currency-trading-platform-bitfinex-illegal>.

⁷ Regulatory arbitrage is the corporate practice of utilising more favourable laws in one jurisdiction to circumvent less favourable regulation elsewhere.

⁸ Source DeFiLlama.

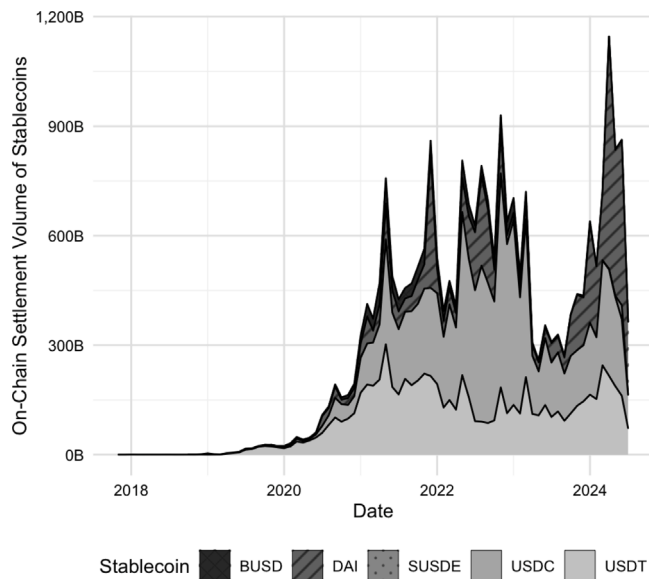


Fig. 3. On-chain settlement volume of top stablecoins.

On-chain settlement volume of top stablecoins by volume settled over time, presented in billions of USD. Data sourced from IntoTheBlock.

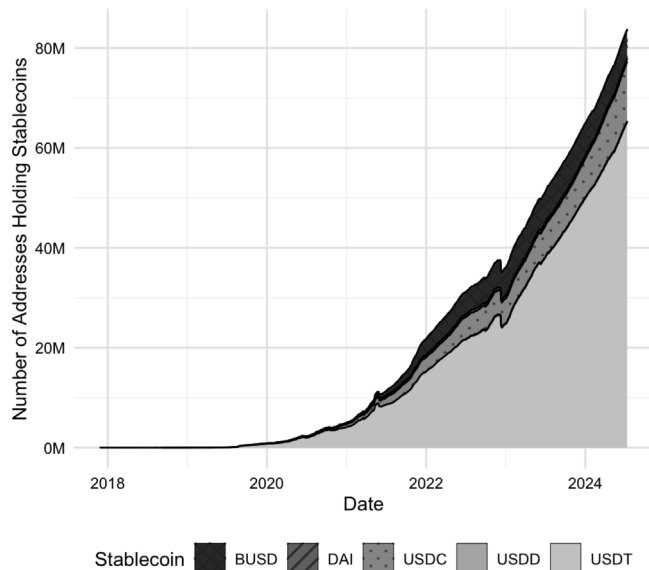


Fig. 4. Number of addresses holding stablecoins over time.

Number of addresses holding stablecoins over time, presented in millions. Data sourced from RAW.xyz.

Table 1 presents the descriptive statistics for the absolute (Abs.), squared (Sq.), and percentage (Pct.) daily closing price deviations (Dev.) from the 1 USD peg for four major stablecoins, USDT, USDC, DAI, and BUSD. Table 2 shows the correlations between the percentage deviations of these stablecoins and various market indicators. Table 3 shows the correlations specifically for extreme deviations and market changes, defined as those in the top 5% (above the 95th percentile) of observed all values.

Arguably, stablecoins' most significant innovation above eurodollars is that they also decouple the dollar from a US-controlled financial system, relying instead⁹ on decentralised blockchains for settlement.

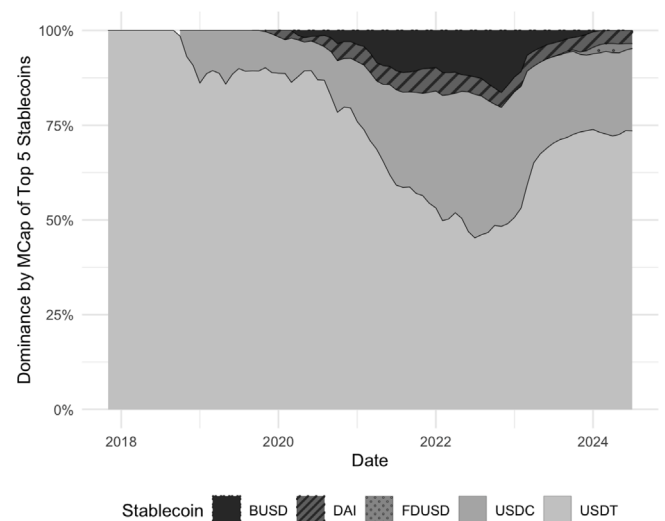


Fig. 5. Percentage market dominance of top 5 stablecoins by market cap over time.

Percentage market dominance of the top 5 stablecoins by market capitalisation, over time. Data sourced from Coin Metrics.

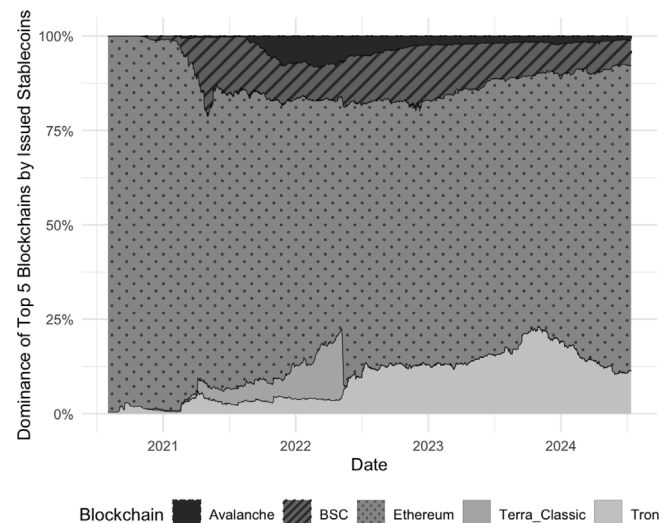


Fig. 6. Percentage market dominance of top 5 blockchains by issued stablecoins.

Percentage market dominance of the top 5 blockchains by the number of issued stablecoins over time. Data sourced from DeFiLlama.

The benefits of this are twofold, both stemming from the ubiquity of crypto infrastructure: first, they offer a viable USD alternative that enjoys a high level of acceptability even compared to national currencies (Gorton and Zhang, 2021), especially when low financial penetration or other restrictions in financial markets, such as the prohibition of holding dollars, are concerned. Secondly, they provide a USD substitute largely unbound by controls that apply to the traditional financial system, including sanctions, with the added benefit of remarkable efficiencies stemming from blockchain, culminating in a largely unceasing asset with near-instant, global, irreversible settlement that offers a high degree of pseudonymity against non-sophisticated actors.

However, there are risks given their increasing involvement of large institutional players demand a reassessment of this view. At one point,

⁹ At least predominantly, as shown in Fig. 6.

Table 1

Descriptive statistics for stablecoin daily closing price deviations from their 1 USD peg.

	vars	mean	sd	median	trimmed	mad	min	max	range	skew	kurtosis	se
USDT Abs. Dev.	1614	5.72	7.10	3.66	4.49	3.89	0.01	102.05	102.04	4.46	37.46	0.18
USDC Abs. Dev.	1614	2.08	8.49	0.99	1.24	1.00	0.00	293.52	293.52	26.69	870.35	0.21
DAI Abs. Dev.	1614	25.88	58.63	2.95	10.50	3.83	0.00	663.06	663.06	3.80	19.59	1.46
BUSD Abs. Dev.	1614	17.86	88.50	1.80	2.51	1.83	0.01	1077.56	1077.55	8.20	77.77	2.20
USDT Sq. Dev.	1614	0.01	0.04	0.00	0.00	0.00	0.00	1.04	1.04	17.70	409.07	0.00
USDC Sq. Dev.	1614	0.01	0.22	0.00	0.00	0.00	0.00	8.62	8.62	39.14	1553.30	0.01
DAI Sq. Dev.	1614	0.41	1.85	0.00	0.04	0.00	0.00	43.96	43.96	11.62	211.49	0.05
BUSD Sq. Dev.	1614	0.81	7.29	0.00	0.00	0.00	0.00	116.11	116.11	12.56	170.56	0.18
USDT Pct. Dev.	1614	0.01	0.04	0.00	0.00	0.00	0.00	1.04	1.04	17.70	409.07	0.00
USDC Pct. Dev.	1614	-4.38	874.24	10.58	11.15	147.27	-29352.17	8451.85	37 804.03	-23.58	797.38	21.76
DAI Pct. Dev.	1614	2164.89	6032.22	16.48	737.96	449.52	-33006.77	66 305.67	99 312.44	3.44	18.50	150.15
BUSD Pct. Dev.	1614	-477.49	9015.94	42.34	50.21	264.74	-105494.36	107 755.73	213 250.09	0.67	78.49	224.42

This table reports the descriptive statistics for the absolute (Abs.), squared (Sq.), and percentage (Pct) daily closing price deviations (Dev.) from their 1 USD peg for USDT, USDC, DAI, and BUSD. The statistics include mean, standard deviation, median, trimmed mean, mean absolute deviation, minimum, maximum, range, skewness, kurtosis, and standard error. The data covers 1614 observations for each stablecoin from 2020 until June 2024. The following descriptive statistics are represented in basis points: mean, sd, median, trimmed, mad, min, max, se. Data sourced from Coin Metrics

Table 2

Correlation between stablecoin deviations and market indicators.

Stablecoin	SP500 Returns	U.S. 10y Treasury Changes	NASDAQ Returns	Gold Futures Returns
USDT Abs. Dev.	0.04	-0.03	0.06	0.01
USDC Abs. Dev.	-0.20	-0.08	-0.16	-0.04
DAI Abs. Dev.	-0.06	-0.00	-0.04	0.03
BUSD Abs. Dev.	-0.02	-0.01	-0.02	0.01

This table presents the correlation coefficients between the absolute closing price deviations from the 1 USD peg for USDT, USDC, BUSD, and DAI, and various market indicators, including S&P 500 returns, U.S. 10-year Treasury changes, NASDAQ returns, and Gold futures returns. The correlations are calculated based on daily data from 2020 until June 2024.

Table 3

Correlation between large stablecoin daily close price deviations from the 1 USD peg, and large changes in market indicators.

Stablecoin	Large SP500 Change	Large U.S. 10y Treasury Change	Large NASDAQ Change	Large Gold Futures Change
Large USDT Abs. Dev.	0.10	0.08	0.12	0.12
Large USDC Abs. Dev.	0.00	-0.02	0.00	0.00
Large DAI Abs. Dev.	0.13	0.13	0.10	0.10
Large BUSD Abs. Dev.	-0.03	-0.05	-0.03	-0.05

This table presents the correlation coefficients between large absolute deviations close price deviations from the 1 USD peg for USDT, USDC, DAI, and BUSD, and large movements in market indicators, defined in both cases as changes above the 95th percentile. The market indicators include large changes in S&P 500, U.S. 10-year Treasury, NASDAQ, and Gold futures. The analysis is based on daily data from 2020 until June 2024.

Tether became the world's 7th largest CP holder,¹⁰ and today, stablecoins collectively rank as the 18th largest holders of U.S. debt.¹¹ This interconnectedness with traditional financial markets is clear. Studies such as Barthélémy et al. (2023) link fluctuations in stablecoin supply backed by CP to CP issuance trends, while (Kim, 2022) shows that USDT and USDC issuance correlates with increased CP issuance and declines in CP and Treasury yields. Dionysopoulos et al. (2024b) note that stablecoin issuers have historically optimised their reserves to capitalise on market rates, driving their growth through these profitable strategies.

If current trends tying stablecoins to traditional markets persist, stablecoins could indeed pose a systemic risk to the financial system. A run on a stablecoin might trigger massive redemptions of reserve assets, leading to a fire sale and broader market disruptions. Such events could also affect other stablecoins and the broader cryptocurrency market, potentially impacting traditional financial firms forced to liquidate assets to cover margin calls following a drop in crypto investment values. These risks are heightened by leverage and rehypothecation strategies used by stablecoin holders (Hermans et al., 2022; Born and Simón, 2022; MacDonald and Zhao, 2023). While these are less present in the literature, additional concerns arise from the potential illiquidity or market value fluctuations of assets backing stablecoins. While they are currently backed by liquid reserves, diversification into illiquid

assets or large-scale redemptions could severely worsen run scenarios. In times of market stress, stablecoin issuers may struggle to maintain their pegs, particularly without adequate overcollateralization (Catalini et al., 2022; Dionysopoulos et al., 2024b).

Despite the risks above, their use has increased in areas of the world faced with currency depreciation, capital controls, and sanctions (Luo, 2022; Foldy, 2023; Foldy and Berwick, 2024).

3. Literature on stablecoins

Given their sheer size and importance to the cryptocurrency ecosystem, the literature on stablecoins is quite sparse compared to that of cryptocurrencies themselves. According to Scopus, since 2020 there have been 86 papers published within the Economics, Econometrics and Finance, and Business, Management and Accounting areas with the keyword “stablecoins”, while during the same period, there have been 2068 published works within these areas with the keyword “cryptocurrency”. This demonstrates the well-known fact in the academic community that there has been an explosion of papers studying all aspects of cryptocurrencies, but a much smaller number studying stablecoins.

The literature on stablecoins covers a few similar themes. The largest theme is studies that examine the interconnectedness of stablecoins with other cryptocurrencies and whether the returns, volume, or volatility of these stable assets are affected by, or affect, other cryptocurrencies (Lyons and Viswanath-Natraj, 2023; Grobys et al., 2021; Ante et al., 2021; Hoang and Baur, 2021; Wang et al., 2020; Baur and Hoang, 2021; Kristoufek, 2021).

¹⁰ Source: Financial Times.

¹¹ Source: Yahoo Finance.

Griffin and Shams (2020) have also noted that the expansion of USDT is timed with Bitcoin price declines, implying that USDT could have been utilised to drive BTC's price. However, this assertion is challenged by some (Wei, 2018; Kristoufek, 2021).

Another growing area of interest amongst the academic community is studying the stability of these coins (Duan and Urquhart, 2023; Bullmann et al., 2019; Jarno and Kołodziejczyk, 2021; Lyons and Viswanath-Natraj, 2023), including during major events such as the collapse of Terra-Luna and the Silicon Valley Bank (Lee et al., 2023; Galati and Capalbo, 2024; Briola et al., 2023).

Recent work by d'Avernas et al. (2022) underscores the challenges of maintaining a stable peg, noting that time-inconsistent monetary policy can lead to destabilisation. These challenges are exacerbated in algorithmic stablecoins, where they have led to large-scale runs (Liu et al., 2023). In this context, authors also highlight the importance of demand for peg stability, which (Gorton et al., 2022) attribute to speculative investment in DeFi, compensating holders for peg stability risks. Ranaldo et al. (2024) demonstrates that these stablecoin DeFi markets operate efficiently overall and, like in traditional markets, are quick to incorporate macroeconomic news, despite some blockchain-specific frictions.

A smaller strand of literature has emerged that parallels stablecoins to money market funds, and even originates their growth to this feature (Barthélémy et al., 2023; Kim, 2022; Dionysopoulos et al., 2024b).

Finally, stablecoins often feature in central bank literature, predominantly in discussions relating to policy and interconnectedness with the traditional financial system, where they are also connected to CBDCs (See for instance, Kosse et al. (2023), Arner et al. (2020), Ahmed et al. (2024), Force (2020), Bullmann et al. (2019), MacDonald and Zhao (2023), and more).

4. Summary & future research directions

As the previous section demonstrated, the stablecoin literature is in its infancy with only a few topics covered in any depth. However the attention from policymakers and media given their influence on the financial system and sheer, the lack of literature is surprising. In this section, we outline key areas for future research.

First, stablecoins operate similarly to narrow banks or money market funds but within the competitive cryptocurrency space. As central banks develop hybrid CBDC arrangements requiring private-sector operators, stablecoin issuers, with their expertise and technological edge, may be effective contenders for CBDC operators. Their integration with the DeFi ecosystem could offer consumers more attractive products. Therefore the introduction of potential retail CBDCs offers some substitutability pressures to stablecoins, especially in economies where consumers do not demand USD substitutes. Research can focus on examining the implications of CBDCs on stablecoins.

Second, the Bitcoin promise of a "peer-to-peer electronic cash system", also championed by other decentralised blockchains, is realised in the exact opposite way through stablecoins. In a hyper-dollarised system controlled by opaque processes and individuals less accountable than central banks or governments, operating in a regulatory grey area, the centrality of stablecoins represents an existential risk for a cryptocurrency ecosystem reliant on them and their intermediaries, who are ultimately subject to regulation. Alternatives to this model, such as algorithmic stablecoins, have proven less stable than desired, but experimentation continues in the form of initiatives such as USDe. Research can naturally focus on examining the best design for stablecoins.

Third, more research is needed on the reserve management strategy of stablecoins, paving the way for the tokenisation of real-world assets (RWA) on the blockchain. This promises increased liquidity and access to a broader investor base. Large institutional players, such as BlackRock,¹² have already been active in this space. Tokenised debt along

other securities could emerge as a significant development, driven by stablecoin holders demanding higher yields for their money.

Finally, while reports are increasing, there is no comprehensive academic study on the global use of stablecoins, especially in emerging markets. Additionally, little is known about the profile of stablecoin users and potential criminality being laundered through stablecoins. Future research could delve into this area and also see how restrictions on traditional financial systems (such as sanctions, capital controls, etc.) affect the usage and user base of stablecoins.

Data availability

The authors do not have premission to share the data.

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¹² See RWA.xyz.

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